



Velocity Vehicle Group – Fuso assets of Daimler Truck Australia Pacific

MN-25035

Phase 1 Determination

Acquisition may be put into effect

8 October 2026

1. Determination

Notified acquisition	Velocity Vehicle Group LLC (VVG), through its subsidiary Fuso Australia Pty Ltd, proposes to acquire certain business assets related to the importation and wholesale distribution of 'Fuso' branded trucks, buses and parts currently owned by Daimler Truck Australia Pacific Pty Ltd (Daimler) (together, the Parties) including material contracts, vehicles, parts, and servicing rights (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	VVG is a supplier of commercial vehicles and parts to end customers and provides related services, including vehicle servicing and finance options. Through its Australian subsidiaries, VVG operates 19 dealerships across metropolitan and regional Australia for the Daimler brands, Mercedes-Benz and Freightliner, as well as Fuso. Daimler is part of the worldwide Daimler Truck Group, with its ultimate parent company, Daimler Truck Holding AG, based in Germany. Daimler is the importer and wholesale distributor of Mercedes-Benz, Freightliner and Fuso branded commercial vehicles and parts in Australia, which are retailed through its authorised dealers in Australia. The Acquisition relates only to the Fuso brand.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.
- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. In conducting its competition assessment, the ACCC has considered the information and documents that were submitted with the notification form, additional information provided by the Parties to the Acquisition, market feedback and publicly available information.
- 2.4. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Relationship between the Parties

- 2.5. Daimler is a wholesale distributor of Fuso vehicles to dealerships in Australia, including VVG. Following the Acquisition, VVG will become the wholesale distributor of Fuso vehicles and parts to dealers, while remaining a dealer.

Industry background

- 2.6. The supply of vehicles in Australia typically involves a manufacturer, an importer or distributor, authorised dealers, and end customers. Manufacturers are responsible for vehicle development and production, while importers and distributors are responsible for importing vehicles and parts as well as managing inventory, logistics, dealer relationships, warranty administration, and fleet programs. Dealers are generally responsible for vehicle sales and additional services such as servicing and repairs. Customers generally purchase vehicles and access aftersales services through the dealer network.
- 2.7. Mitsubishi Fuso Truck and Bus Corporation is the manufacturer of Fuso branded vehicles and parts, and Daimler is the importer and distributor. There are currently 58 dealers authorised to supply Fuso vehicles and/or parts across Australia, including 19 VVG-owned dealerships.
- 2.8. Dealers compete both within and beyond designated Primary Market Areas (**PMAs**). Dealer agreements establish PMAs and dealer performance obligations, but PMAs are not exclusive territories and dealers can compete for customers outside of designated areas. The ACCC received information from third parties indicating that dealers compete for customers and servicing opportunities across these geographic boundaries.
- 2.9. For the supply of new vehicles, the ACCC considers that there is both inter- and intra-brand competition between dealership sites. Inter-brand competition is competition between sellers of different manufacturers' brands, while intra-brand competition is competition between different sellers of the same manufacturer's brand.
- 2.10. In assessing the Acquisition, the ACCC has considered the effects on intra-brand competition, noting that both non-VVG and VVG-owned dealers currently supply new Fuso vehicles, as well as inter-brand competition, given the range of brands offered by the Parties.

Competition assessment

- 2.11. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

Relevant areas of competition

- 2.12. The ACCC has considered the competitive effects of the Acquisition in the downstream supply of the vehicle classes in which Fuso competes: light duty trucks, medium duty trucks, heavy duty trucks and light duty buses.

- 2.13. The ACCC has considered whether the Acquisition is likely to substantially lessen competition by providing the merged firm with the ability and incentive to foreclose non-VVG Fuso dealers by worsening their access to new Fuso vehicles or related vehicle sales opportunities. The ACCC considered whether any resulting weakening of non-VVG Fuso dealers would have the effect of substantially lessening competition in the downstream supply of the relevant vehicle classes. This assessment took into account both competition between Fuso dealers and the constraint from competing vehicle brands.

Vertical effects – foreclosure of rival dealers in the supply of Fuso vehicles

- 2.14. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in the downstream supply of light duty trucks, medium duty trucks, heavy duty trucks or light duty buses.
- 2.15. The ACCC has considered whether the merged firm may have the ability and incentive to foreclose non-VVG Fuso dealers by restricting or adversely affecting their access to Fuso vehicles and related sales opportunities, given its position as the sole importer and wholesale distributor of Fuso vehicles in Australia. The ACCC received some information from third parties that identified potential foreclosure mechanisms, including restricting access to Fuso vehicles, fleet sales opportunities, associated servicing work opportunities, worsening wholesale terms, or less favourable allocation of stock.
- 2.16. However, having regard to the particular facts around competition for the relevant vehicles, the ACCC considers that even if any such foreclosure occurred, it is unlikely to have the effect of substantially lessening competition. In reaching this view, the ACCC considered:
- the extent to which VVG-owned Fuso dealers currently face competition from non-VVG Fuso dealers for the relevant vehicles
 - whether the merged firm would face competition from alternative suppliers of vehicles in each of the relevant classes sufficient to prevent a substantial lessening of competition in the case that non-VVG dealers were weakened.
- 2.17. The ACCC's analysis of data provided by the Parties indicates that the strength of intra-brand competition between non-VVG and VVG-owned Fuso dealers varies across geographic areas. Information from third parties suggests that customers do not always compare prices between Fuso dealers, though they are more likely to do so for fleet orders, and many purchase from different dealers depending on factors such as vehicle availability, location and servicing. The ACCC therefore considers that non-VVG Fuso dealers provide some competitive constraint on VVG-owned dealers.
- 2.18. Despite this, the ACCC considers on the information before it that VVG would continue to face significant competition from other vehicle brands in the relevant vehicle classes. Information from the Parties and third parties identified Isuzu, Hino, Volvo, Scania, DAF, UD Trucks, Kenworth as alternatives, as well as emerging Chinese entrants. The majority of these competing brands are supplied through established dealer networks that are separate from the Fuso dealer networks.
- 2.19. Information from third parties indicates that customers generally consider competing vehicle brands when making purchasing decisions and would consider switching

away from Fuso if its vehicles became materially less competitive, with price, vehicle availability, product suitability and servicing support all factors in purchasing decisions. Based on information from third parties, the ACCC considers that customers are able to switch brands, noting some practical barriers to switching such as obtaining stakeholder support for a change in brand. Customers generally considered alternative brands to be viable options, and many currently operate multiple truck brands within the same vehicle class.

- 2.20. Based on the information before it, the ACCC considers that any foreclosure in relation to Fuso vehicles and related sales opportunities may redirect some Fuso sales from non-VVG dealers to VVG-owned dealers. However, this is unlikely to significantly reduce the competitive constraints on VVG or increase its downstream market power. In particular, the ACCC considers, in the circumstances of the Acquisition, that competition from alternative vehicle brands and their dealer networks would continue to constrain VVG sufficiently to prevent a substantial lessening of competition in the downstream supply of the vehicle classes in which Fuso competes.
- 2.21. Given its conclusion on the likely competitive effects of foreclosure, the ACCC did not consider it necessary to reach a concluded view on whether the merged firm would have an incentive to foreclose non-VVG Fuso dealers.

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act